



FOURTH QUARTER 2013 FINANCIAL RESULTS

February 11, 2014

zoetis

FORWARD-LOOKING STATEMENTS

This presentation contains forward-looking statements, which reflect Zoetis' current views with respect to business plans or prospects, future operating or financial performance, expectations regarding future use of cash and dividend payments, and other future events. These statements are not guarantees of future performance or actions. Forward-looking statements are subject to risks and uncertainties. If one or more of these risks or uncertainties materialize, or if management's underlying assumptions prove to be incorrect, actual results may differ materially from those contemplated by a forward-looking statement. Forward-looking statements speak only as of the date on which they are made. Zoetis expressly disclaims any obligation to update or revise any forward-looking statement, whether as a result of new information, future events or otherwise. A further list and description of risks, uncertainties and other matters can be found in our Annual Report on Form 10-K for the fiscal year ended December 31, 2012, including in the sections thereof captioned "Forward-Looking Information and Factors That May Affect Future Results" and "Item 1A. Risk Factors", in our Quarterly Reports on Form 10-Q and in our Current Reports on Form 8-K. These filings and subsequent filings are available online at www.sec.gov, www.zoetis.com, or on request from Zoetis.

NON-GAAP FINANCIAL INFORMATION

We use non-GAAP financial measures, such as adjusted net income and adjusted diluted earnings per share, to assess and analyze our operational results and trends and to make financial and operational decisions. We believe these non-GAAP financial measures are also useful to investors because they provide greater transparency regarding our operating performance. The non-GAAP financial measures included in this news release should not be considered alternatives to measurements required by GAAP, such as net income, operating income, and earnings per share, and should not be considered measures of liquidity. These non-GAAP financial measures are unlikely to be comparable with non-GAAP information provided by other companies. Reconciliation of non-GAAP financial measures and GAAP financial measures are included in the tables accompanying our press release and are posted on our website at www.zoetis.com

JUAN RAMÓN ALAIX
CHIEF EXECUTIVE OFFICER

KEY TAKEAWAYS

SIGNIFICANT PROGRESS IN COMPANY'S FIRST YEAR

- Achieved key financial and strategic objectives
- Delivered full-year operational revenue growth of 7%
- Achievements delivered while managing complexity of Separation

BALANCED, GLOBAL GROWTH

- Revenue growth in all four regions
- Growth in both livestock and companion animal species groups
- Focus on core interconnected capabilities drove outperformance vs. industry

RESULTS PROVIDE STRONG FOUNDATION FOR FUTURE

- Reinforces importance of diverse portfolio and strong business model
- Long-term objectives of revenue growth in-line or slightly faster than the market while growing adjusted earnings faster than sales
- Commitment to bringing value to customers, colleagues, shareholders

RICK PASSOV
CHIEF FINANCIAL OFFICER

INCOME STATEMENT HIGHLIGHTS

	Fourth Quarter		
	2013*	2012*	Change
Revenue	\$1,254	\$1,176	7%
Reported Net Income (Loss)	105	(10)	**
Reported Diluted EPS	\$0.21	\$(0.02)	**
Adjusted Net Income ¹	180	57	**
Adjusted Diluted EPS ¹	\$0.36	\$0.11	**

*Millions of dollars, except per share data

** Calculation not meaningful

¹Non-GAAP adjusted net income and non-GAAP adjusted diluted earnings per share (non-GAAP financial measures) are defined as reported net income attributable to Zoetis and reported diluted earnings per share, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

ADJUSTED INCOME STATEMENT HIGHLIGHTS

	Fourth Quarter				
	2013*	2012*	Change	Foreign Exchange	Operational ²
Revenue	\$1,254	\$1,176	7%	(2)%	9%
Adjusted Cost of Sales ¹	444	427	4%	(3)%	7%
<i>as a percent of revenue</i>	35.4%	36.3%	NA	NA	NA
Adjusted SG&A Expenses ¹	406	440	(8)%	(2)%	(6)%
Adjusted R&D Expenses ¹	119	121	(2)%	(1)%	(1)%
Adjusted Interest Expense ¹	30	8	**	—	**
Adjusted Other (Income) / Deductions ¹	-	2	**	**	**
Adjusted Tax Rate ¹	29.0%	67.2%	NA	NA	NA
Adjusted Net Income ¹	180	57	**	**	**

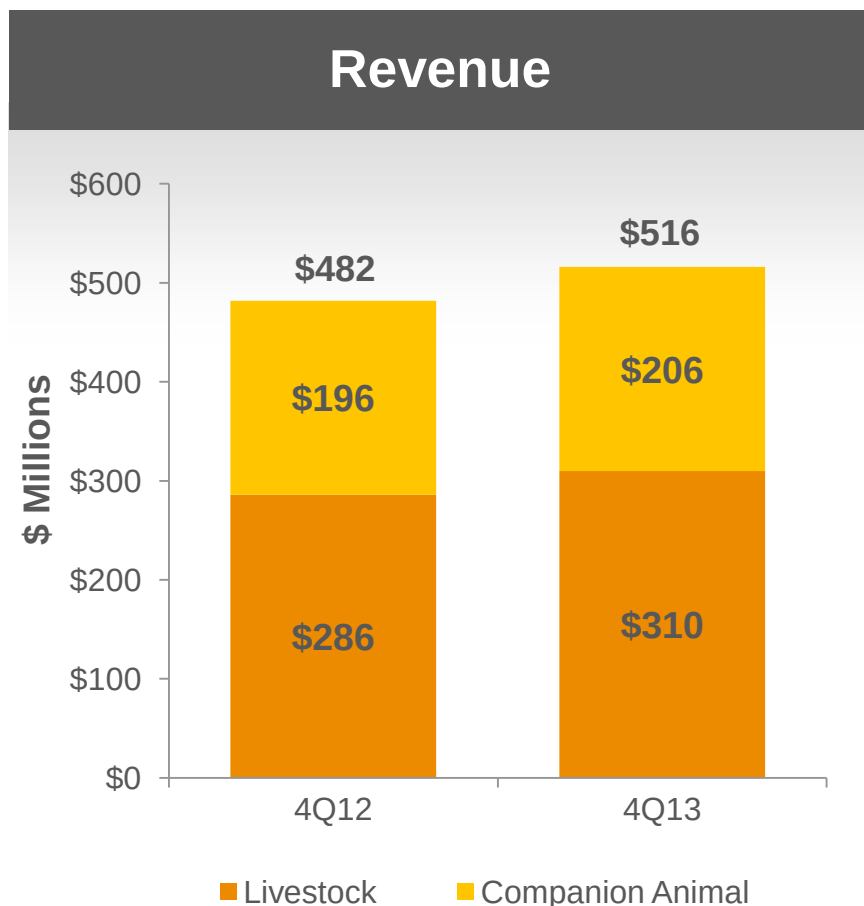
*Millions of dollars; **Calculation not meaningful

NA – Not applicable

¹ Adjusted cost of sales, adjusted selling, general and administrative expenses (SG&A), adjusted research and development expenses(R&D), adjusted interest expense, adjusted other (income) / deductions, adjusted tax rate and adjusted net income (non-GAAP financial measures) are defined as the corresponding reported U.S. generally accepted accounting principles (GAAP) income statement line items, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

² Operational change excludes the impact of foreign exchange.

US SEGMENT PERFORMANCE



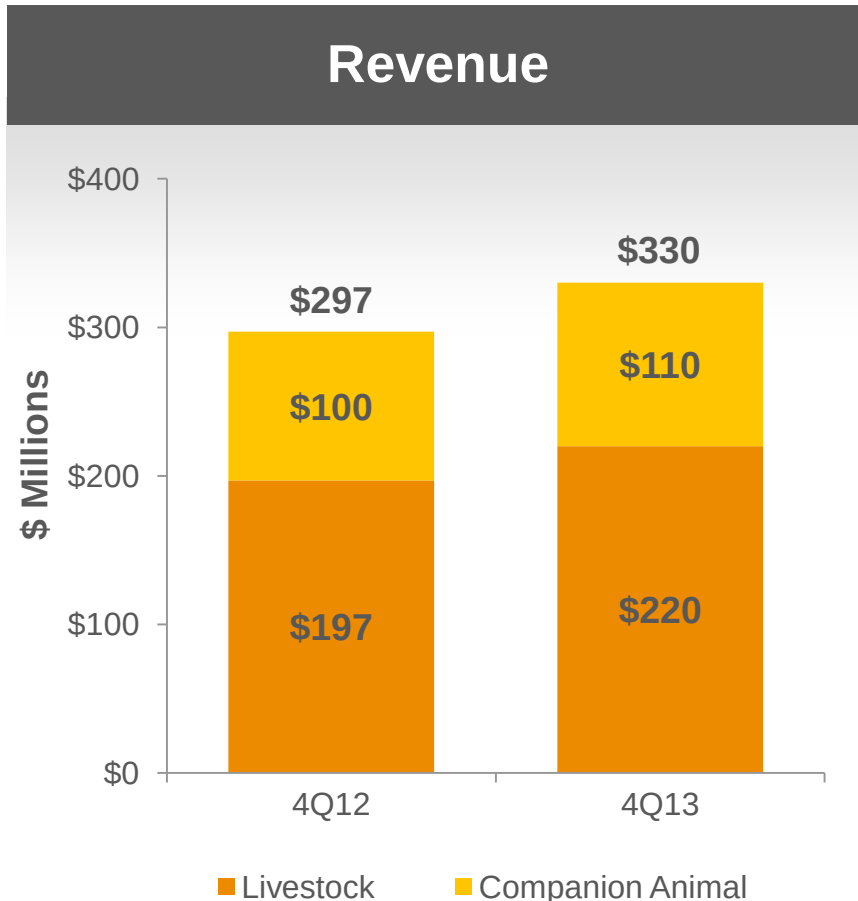
7% Growth



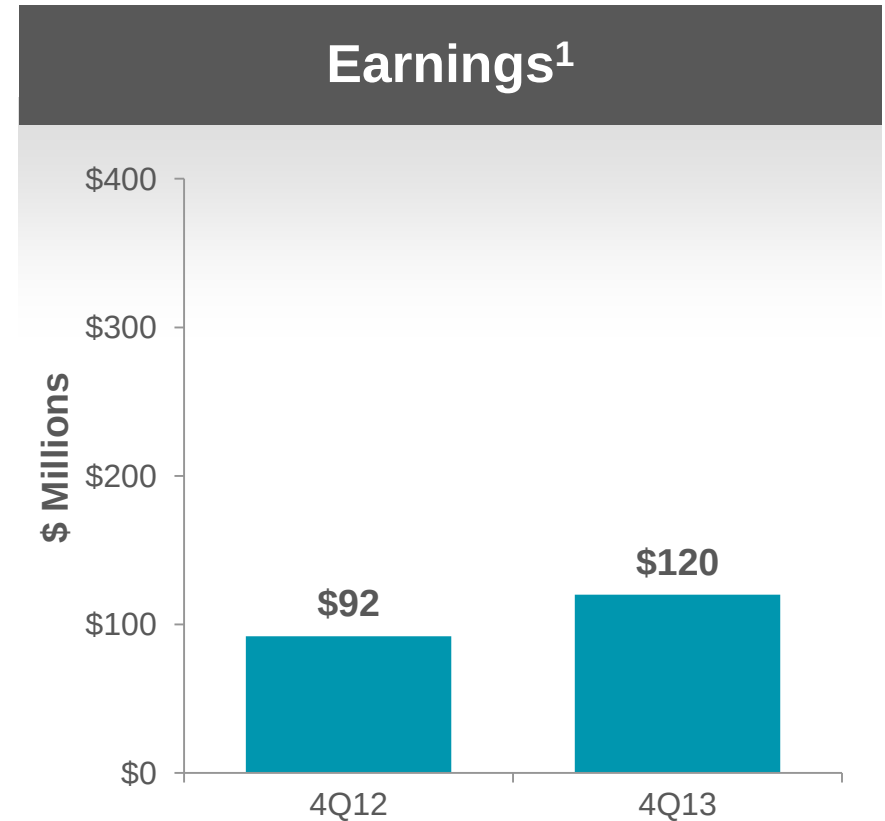
11% Growth

¹Defined as income before provision for taxes on income

EuAfME SEGMENT PERFORMANCE



11% Reported Growth
9% Operational² Growth

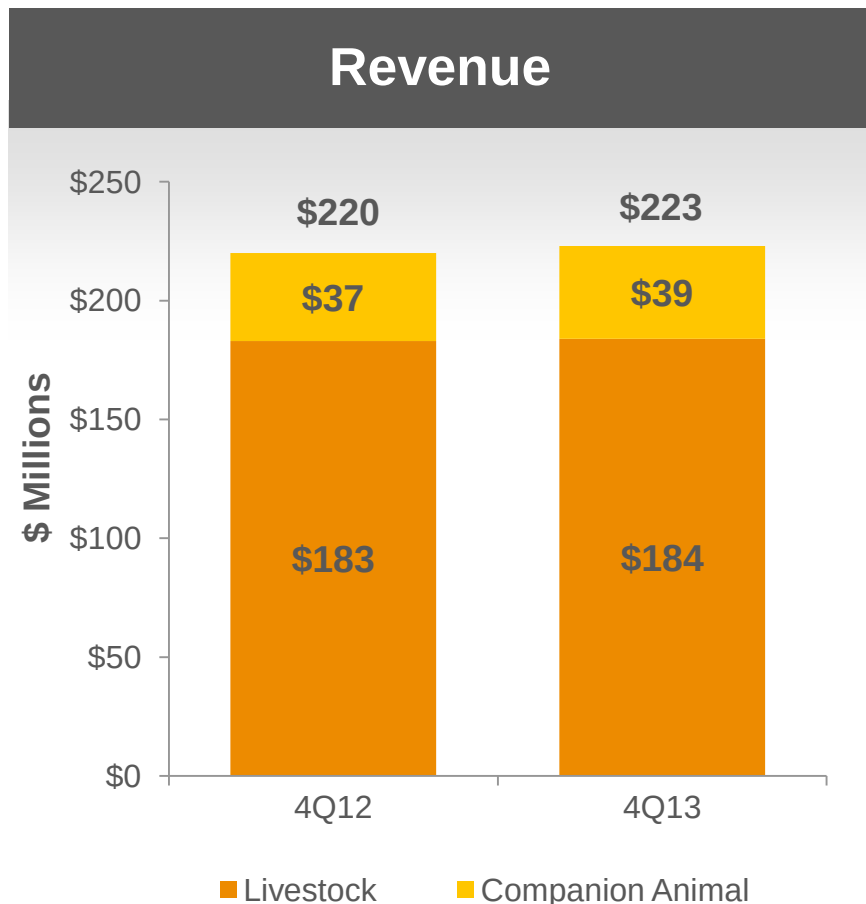


30% Reported Growth
24% Operational² Growth

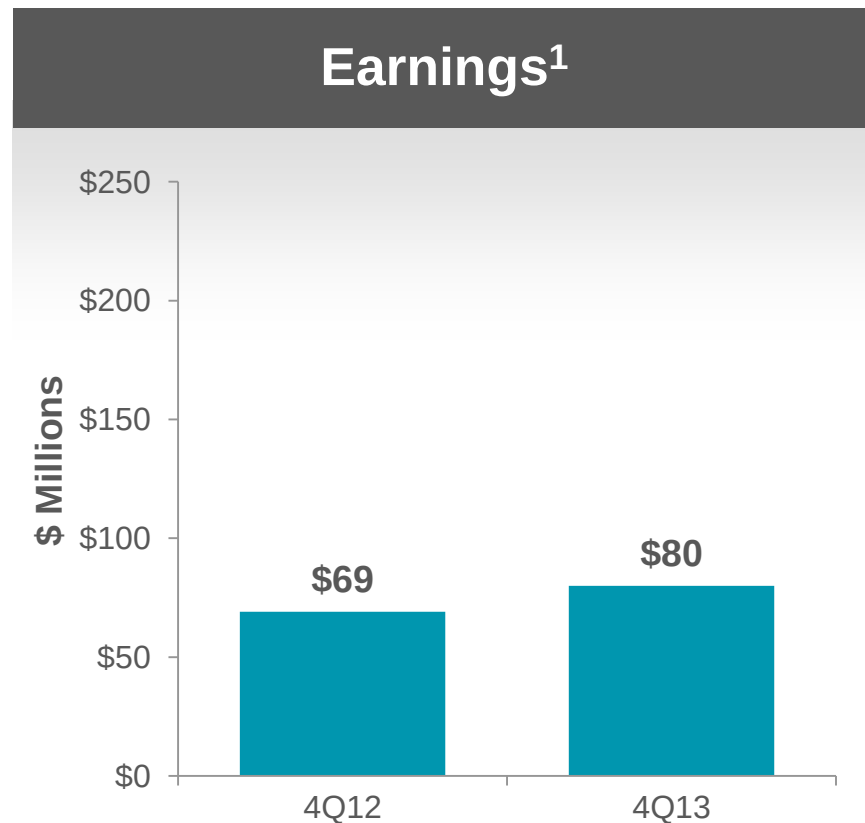
¹Defined as income before provision for taxes on income

²Operational growth is defined as growth excluding the impact of foreign exchange

CLAR SEGMENT PERFORMANCE



1% Reported Growth
8% Operational² Growth

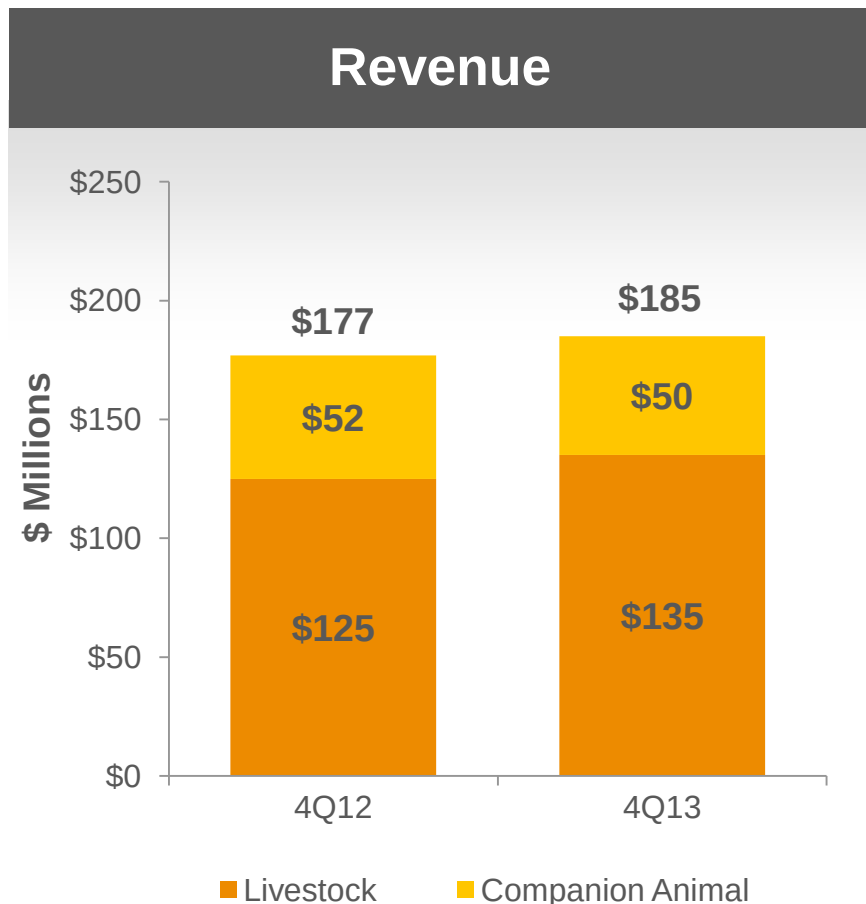


16% Reported Growth
24% Operational² Growth

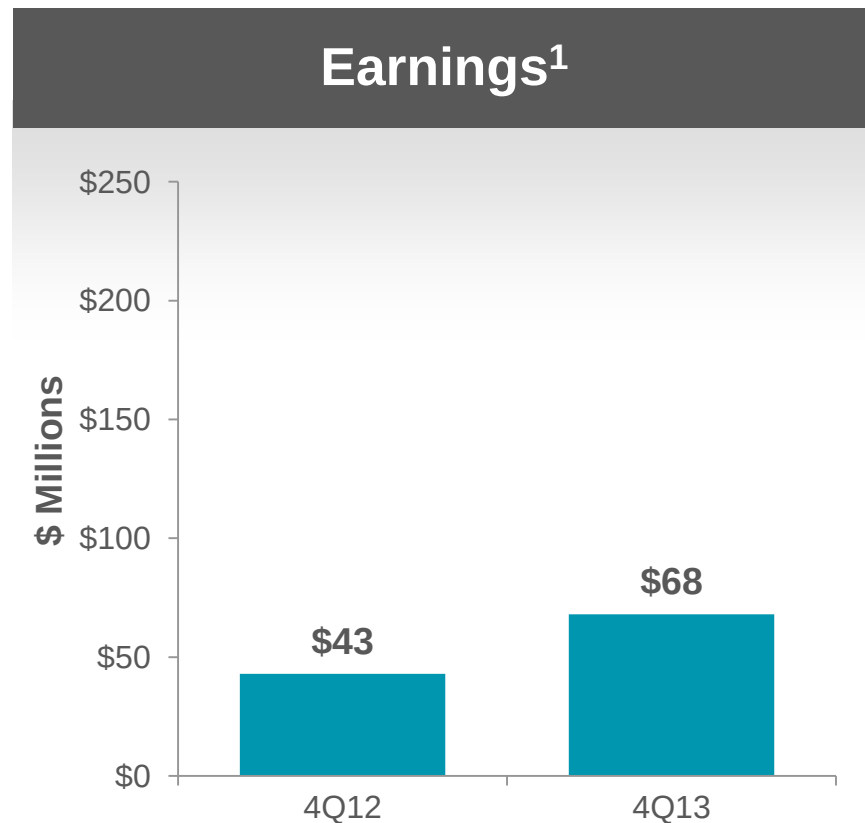
¹Defined as income before provision for taxes on income

²Operational growth is defined as growth excluding the impact of foreign exchange

APAC SEGMENT PERFORMANCE



5% Reported Growth
14% Operational² Growth



58% Reported Growth
70% Operational² Growth

¹Defined as income before provision for taxes on income

²Operational growth is defined as growth excluding the impact of foreign exchange

2014 GUIDANCE

Selected Line Items	
Revenue	\$4,650 million to \$4,750 million
Adjusted cost of sales as a percentage of revenue ¹	Approximately 35.5%
Adjusted SG&A expenses ¹	\$1,430 million to \$1,480 million
Adjusted R&D expenses ¹	\$390 million to \$405 million
Adjusted interest expense and other (income) / deductions ¹	Approximately \$105 million
Effective tax rate on adjusted net income ¹	Approximately 29%
Adjusted diluted EPS ¹	\$1.48 to \$1.54
Certain significant items ² and acquisition-related costs	\$165 to \$185 million
Reported diluted EPS	\$1.15 to \$1.21

¹Non-GAAP adjusted net income and non-GAAP adjusted diluted earnings per share (non-GAAP financial measures) are defined as reported net income attributable to Zoetis and reported diluted earnings per share, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

²Primarily includes certain nonrecurring costs related to becoming a standalone public company, such as new branding (including changes to the manufacturing process for required new packaging), the creation of standalone systems and infrastructure, site separation, certain legal registration and patent assignment costs, and restructuring and other charges.

Q&A

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